

Interview Feedback

Brew & Bean Profitability · 2026-10-05 · Overall: needs work

Top improvement

Commit to a hypothesis and an answer at every stage. For example: 'Revenue rose but margin fell, so I'll start with costs.' Close with 'My recommendation is X because of A and B; the risk is C; next I'd do D.' Do this even when you're unsure. Your analysis was largely right, but you repeatedly said 'I don't know' and needed the interviewer to make the calls for you.

Rubric Scores

Problem Structuring

needs work

What needs work

The candidate named distinct revenue and cost buckets and added a market/competition lens, but the framework stayed a generic template: the objective was not restated, there were no sub-points (volume × price, COGS / labor / overhead), and nothing was tailored to a coffee chain.

"Okay, um, so I guess I'd look at three big areas. First, revenue — like what's happening with sales. Second, costs — what they're spending money on."

"Okay, um, so I guess I'd look at three big areas. First, revenue — like what's happening with sales. Second, costs — what they're spending money on. And third, maybe the market or competition, like external stuff that could be pressuring them."

The candidate could not prioritize a branch despite five prompts. Costs were chosen only after the interviewer spelled out that revenue rose while margin fell, so the prioritization was not independent.

"hmm, I'm not sure. Both feel like they could matter."

"I don't really know where to start, sorry."

The candidate deflected the prioritization question with a string of scoping questions instead of forming a hypothesis.

"Is the margin decline happening across all 200 locations, or just some of them?"

Missed opportunities

Turn 3, when the interviewer asked where to start digging and why.

A great answer: "Revenue grew 15% while margin fell 18 points, so the problem is almost certainly that costs grew faster than revenue, or that prices didn't keep up. My hypothesis is COGS, given commodity inflation in coffee and dairy. I'd start with cost lines as a share of revenue over two years, then check whether menu prices moved."

Quantitative & Analytical Rigor

adequate

What went well

The candidate correctly decomposed revenue growth into ticket and volume.

"So revenue is up 15% total and ticket is up about 10%, which means volume is only up about 5%."

What needs work

The candidate correctly converted the nested percentages into points of revenue (beans 10.5 ' +4.2; non-beans 31.5 ' +11.8) and reconciled them to the 16-point COGS rise, but then kept calling that rise '16%' through three challenges. It is 16 percentage points, which is about a 38% relative increase in COGS share (16/42).

"I still read it as 16%, honestly. Both numbers are percentages so the gap is a percentage too."

"It's 16% still, since both are percentages of revenue, right?"

"For beans, 25% of COGS two years ago, and COGS was 42, so beans were about 10.5 points of revenue. If bean costs are up 40%, that's 10.5 times 1.4 which is 14.7, so beans went up about 4.2 points of revenue."

"Those were the other 75% of COGS, so 31.5 points of revenue, and up 37.5% that's about 11.8 points. So that adds up, 4.2 plus 11.8 is 16."

The candidate first asserted a 16–17% price increase without deriving it, which ignored that margin is measured on the new, larger revenue base. Once probed, the candidate set up a correct equation, solved it accurately (~23.7%), and drew the business implication.

"If prices went up about 16-17% and volume held, that'd roughly get the margin back."

"So 6 plus x equals 24 plus 0.24x, so 0.76x is 18, x is about 23.7. So roughly a 24% price increase."

"That's a lot. I'd flag that's probably not realistic in one go."

Missed opportunities

Turn 57, asked to size the price increase needed.

A great answer: "Let me set it up first: costs are 94 per 100 of revenue. For a 24% margin I need $(100+x \cdot 94)/(100+x)=0.24$, so $x=23.7\%$. That assumes volume holds, so the real number is higher once we account for elasticity."

Data & Exhibit Interpretation

adequate

What needs work

The candidate read every cost line, isolated COGS as the driver, and tied the cost increases to the margin decline, but the so-what stopped at restating the bridge as 'the whole story'. The implication (the client absorbed input inflation without repricing) came only after the interviewer raised pricing.

"That's basically the whole story right there."

"COGS is the one moving. It goes 42, 50, 58, so it's up 16 points over the two years. Labor's flat at 22 and overhead barely moves, 12 to 14."

"Yeah, 16 plus 2 is 18, and profit dropped 18, so it ties out."

The units drifted mid-read: the candidate correctly said '16 points', then switched to '16%', which muddled the exhibit read.

"So COGS went up 16%, and profit fell 18 points, 24 to 6."

The candidate proposed a sensible next step by asking what sits inside COGS rather than stopping at 'costs went up', but testing whether beans alone explain the full COGS rise was interviewer-directed rather than self-initiated.

"It's 16%, I think — 58 minus 42 is 16."

"Could I get a split of what's inside COGS — like coffee beans versus milk versus cups?"

Missed opportunities

Turn 21, right after reading the cost exhibit.

A great answer: "COGS explains 16 of the 18 points, so this is an input-cost or pricing problem, not labor or overhead. Bean prices are the obvious suspect, but I want to test whether beans alone can explain 16 points. Can I get the COGS mix and input price changes, plus whether menu prices moved?"

Business Judgment & Insight

adequate

What went well

The candidate correctly linked flat menu prices to cost inflation landing entirely on margin.

"If input costs are up 40% and they haven't moved prices, that explains why the increase landed entirely on margin."

The candidate named elasticity and competitor pricing as the key unknowns before sizing a price move.

"First thing I'd want to know is how price-sensitive their customers are — whether a 15% increase loses them a lot of volume, and what competitors charge nearby."

What needs work

The first price-sizing assumption was implausible: a 16–17% increase with volume held would not restore a 24% margin.

"If prices went up about 16-17% and volume held, that'd roughly get the margin back."

The candidate recognized that a 24% price jump is unrealistic and proposed a commercially sensible phased mix of price and procurement, but only after the interviewer asked for a phased plan. Until then, risk awareness was thin: a single risk with no mitigation.

"Risk is customers walk away and volume drops. That's all I've got, sorry."

"Maybe phase it — a smaller price increase first, like 8-10%, see how volume holds, then another step later. And at the same time work the supplier side, renegotiate beans and dairy, so you don't need the full 24 from price alone."

Missed opportunities

Turn 55, asked what risk to flag to the CEO.

A great answer: "The main risk is volume loss. I'd mitigate it by raising prices selectively on specialty drinks where demand is least elastic, testing in a few markets first, and benchmarking against nearby competitors. I'd pair that with supply contracts on beans and dairy so less of the gap rides on price."

Creativity & Brainstorming

needs work

What needs work

The candidate eventually produced a data-grounded revenue lever (pushing higher-margin items because basket size is already growing), but built no mini-structure for the brainstorm (the cost/revenue split was supplied by the interviewer), and the other ideas were conventional and unprioritized.

"On the cost side maybe renegotiate with bean suppliers, or lock in contracts."

"Other than that I don't really know, sorry."

"And maybe push the higher-margin items since people are already buying more per visit."

Missed opportunities

Turn 38, asked for a structured set of ideas to reverse the margin decline.

A great answer: "I'll split this into price, mix, and input cost. Price: targeted increases on specialty drinks, and smaller sizes or re-tiering. Mix: upsell high-margin food and add-ons, since basket size is already growing, and use loyalty offers to steer customers to high-margin items. Input cost: multi-year bean contracts, dairy and packaging renegotiation, and a lower-cost house blend for value-focused stores. Price comes first because it is the biggest and fastest lever."

Synthesis & Recommendation

needs work

What needs work

Once pushed, the candidate gave a reason tied to the analysis and named the key risk, but never committed to a recommendation independently and disowned the answer even after the interviewer narrowed it to a single lever.

"I'm sorry, I don't know. I can't pick one."

"Raising prices, I guess. But I don't know — I can't give you a real recommendation."

"I'd lead with it because input costs are up 40% and prices haven't moved at all, so the whole increase landed on margin."

"Risk is customers walk away and volume drops."

Even after building a phased price-plus-procurement plan, the candidate closed without an answer, leaving the CEO with no recommendation.

"But if you're asking me what I'd actually recommend to the CEO, I still don't know. Sorry."

Communication & Delivery

needs work

What went well

The candidate built on the interviewer's pricing cue with hypothesis-style reasoning and a targeted data request.

"I'd want to know if they've raised menu prices at all in those two years. If input costs are up 40% and they haven't moved prices, that explains why the increase landed entirely on margin."

What needs work

Frequent validation-seeking undercut ownership of the case.

"Am I on the right track with that?"

"Is that the kind of thing you meant?"

When the candidate had content, the delivery was brief and easy to follow, as in the revenue decomposition. Elsewhere, repeated apologies and stalled 'I don't know' turns made it hesitant rather than top-down, with little signposting or structure stated before detail.

"I'm stuck, sorry. I don't really know where to start."

"Sorry, that's probably rough."

"So none of the revenue growth came from pricing — it's all mix and a little volume. Meanwhile input costs are up 40% and they've absorbed every bit of it."

Missed opportunities

Turn 37, after decomposing the revenue growth, the candidate ended with 'Am I on the right track there?'

A great answer: "So the picture is clear: costs rose about 38% and none of it was passed through in price. Revenue grew only through mix and a little volume. My next step is to size how much price increase is needed and how far procurement can close the rest."

Pushback, Composure & Case Leadership

needs work

What needs work

When challenged on the price-increase math, the candidate questioned the original answer, explained the flaw, and updated to a correct derivation. On units, however, the candidate held an incorrect position through three explicit challenges, using flawed reasoning instead of re-examining it.

"I still read it as 16%, honestly. Both numbers are percentages so the gap is a percentage too."

"But I think that's not quite right because the 16 is a percentage of the old revenue, not the new one. I'm not confident in it, sorry."

"22 over 116 is about 19%, so not quite the 24. You'd need more than 16% to get there."

The candidate proactively asked for relevant data at a few points, but was otherwise largely passive: the interviewer had to lead the framework, brainstorm, and recommendation stages, including a 'Take your time' assist during analysis.

"I don't really know where to start, sorry."

"I'm sorry, I don't know. I can't pick one."

"Could I get their menu price history over the two years — and maybe average ticket size?"

Missed opportunities

Turn 32, the third challenge on whether 16 is percent or points.

A great answer: "You're right — subtracting one share from another gives percentage points. COGS rose 16 points of revenue, which is about a 38% relative increase in COGS share. The 16 points is what maps directly onto the 18-point margin drop."

Model Answer

Structure

Strong structure disaggregates profit = revenue - costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

Take a minute if you need it, then tell me how you'd structure your approach.

Interviewer · 1:01

Still with me? Take your time. The question on the table: how would you approach this problem?

Candidate · 1:55

Okay, um, so I guess I'd look at three big areas. First, revenue — like what's happening with sales. Second, costs — what they're spending money on. And third, maybe the market or competition, like external stuff that could be pressuring them.

Does that seem okay as a starting point?

Interviewer · 1:57

Okay. Within your revenue and cost branches, where would you start digging first, and why?

Candidate · 2:20

Before I dig in — when you say revenue grew 15%, is that over the full two years combined, or per year?

Interviewer · 2:21

It's the total growth over the two-year period, not per year. Now, back to my question: which branch would you start with, and why?

Candidate · 2:37

And is that 15% in dollars, or is that unit volume growth?

Interviewer · 2:39

The 15% is revenue in dollars, and I don't have a volume breakdown behind it. What would you pull to split it into volume and price, and which branch do you start with?

Candidate · 2:57

Is the margin decline happening across all 200 locations, or just some of them?

Interviewer · 3:00

That's not in the information I have; I only have the chain-wide picture. I don't have data on that. You've asked several scoping questions now, so which branch would you start with, and why?

Candidate · 3:21

Sorry — one more. Have they opened new locations in those two years, or is it the same 200?

Interviewer · 3:23

200 stores today — and it was 200 stores two years ago, so the footprint hasn't changed. Now, which branch would you start with, and why?

Candidate · 3:37

hmm, I'm not sure. Both feel like they could matter.

Interviewer · 3:40

Okay. Revenue grew while profit margin fell, so what does that tell you about which branch is more likely to hold the answer? Pick one and tell me the first piece of data you'd want.

Candidate · 3:54

I'm stuck, sorry. I don't really know where to start.

Interviewer · 3:56

Take your time. The question on the table is which branch you'd dig into first, and what's the first piece of data you'd ask me for?

Interviewer · 4:57

Still with me? Take your time. The question on the table: the question on the table is which branch you'd dig into first, and what's the first piece of data you'd ask me for?

Candidate · 5:20

I don't really know where to start, sorry.

Interviewer · 5:22

That's fine. Revenue went up and margin went down, so something moved differently on one side. Which side would you want to look at first, and what number would you ask me for?

Candidate · 5:40

Costs, I think. Could I get a breakdown of their cost lines over the two years?

Interviewer · 5:42

Here's the cost structure over time. What stands out to you?

[\[Exhibit shown: Brew & Bean Cost Structure Over Time\]](#)

Candidate · 6:29

COGS is the one moving. It goes 42, 50, 58, so it's up 16 points over the two years. Labor's flat at 22 and overhead barely moves, 12 to 14.

So COGS went up 16%, and profit fell 18 points, 24 to 6. That's basically the whole story right there.

Am I on the right track with that?

Interviewer · 6:32

Walk me through that. COGS is up 16 points, overhead is up 2, and profit fell 18 points. Does that add up, and what does it mean for the story?

Candidate · 7:12

Yeah, 16 plus 2 is 18, and profit dropped 18, so it ties out. So COGS going up 16% is driving almost all of it, with overhead adding the last bit.

Could I get a split of what's inside COGS — like coffee beans versus milk versus cups?

Interviewer · 7:14

Check that 16 against the cost figures. Is it 16 percent, or something else? Coffee beans were 25% of COGS two years ago. Other input costs — dairy, packaging, and food — are up 37.5% over the past two years. Raw coffee bean costs are up 40% over the past two years.

Candidate · 7:46

It's 16%, right? It went from 42 to 58.

god I'm so bad at this. Honestly I think I'm going to bomb every interview I do, I don't really know why I'm even doing this.

Interviewer · 7:46

Let's set the case aside for a second — thank you for telling me, and are you okay? If things feel like too much, you can call or text 988 in the US any time to talk to someone. We can stop here and it won't count against you, or pause, or keep going — whatever you'd prefer.

Candidate · 8:32

I'd rather keep going, honestly. Thank you though.

So — COGS as a share of revenue went 42 to 58. And you said beans were 25% of COGS and beans are up 40%, other inputs up 37.5%. So the inputs are both rising a lot and that's pushing COGS up the 16%.

Am I on the right track?

Interviewer · 8:36

Okay, glad to keep going. COGS went from 42 to 58 of revenue, but is that 16 percent or 16 points? Then take the bean share of COGS and the bean price increase, and tell me how many points of revenue the beans account for.

Candidate · 9:18

It's 16%, I think — 58 minus 42 is 16.

For beans, 25% of COGS two years ago, and COGS was 42, so beans were about 10.5 points of revenue. If bean costs are up 40%, that's 10.5 times 1.4 which is 14.7, so beans went up about 4.2 points of revenue.

Interviewer · 9:22

Okay. Your 16 is a difference between two shares of revenue, so what unit is it in? And with beans accounting for about 4.2 of it, where does the rest of the COGS increase come from?

Candidate · 10:08

It's 16% still, since both are percentages of revenue, right?

The rest — beans are 4.2 of it, so the other 11.8 has to come from dairy, packaging and food. Those were the other 75% of COGS, so 31.5 points of revenue, and up 37.5% that's about 11.8 points. So that adds up, 4.2 plus 11.8 is 16.

Interviewer · 10:11

Your bean and non-bean math holds together. On the unit though, you're subtracting one share of revenue from another, so is that 16 percent of revenue or 16 points of margin, and does the distinction matter for the 24 to 6 decline?

Candidate · 10:51

I still read it as 16%, honestly. Both numbers are percentages so the gap is a percentage too.

But I see what you mean that it maps onto the 24 to 6 drop. The 16 from COGS plus 2 from overhead is the 18 the margin lost.

Interviewer · 10:53

Okay, the bridge from COGS and overhead to the margin drop holds. Revenue is up and the footprint is unchanged, so what do you want to know about pricing, and what would you ask me for?

Candidate · 11:36

I'd want to know if they've raised menu prices at all in those two years. If input costs are up 40% and they haven't moved prices, that explains why the increase landed entirely on margin.

Could I get their menu price history over the two years — and maybe average ticket size?

Interviewer · 11:38

Menu prices have not changed in two years. The average transaction is \$6.80, up from \$6.20 two years ago — about a 10% increase, because customers are buying more items per visit. Given that, what does it tell you about where the revenue growth came from?

Candidate · 12:32

So revenue is up 15% total and ticket is up about 10%, which means volume is only up about 5%. And the ticket increase isn't price, it's people buying more items per visit.

So none of the revenue growth came from pricing — it's all mix and a little volume. Meanwhile input costs are up 40% and they've absorbed every bit of it.

Am I on the right track there?

Interviewer · 12:36

Okay. Put the recommendation aside for a moment. Beyond what we've discussed, what else could the client do to reverse this margin decline? Give me a structured set of ideas.

Candidate · 12:51

hmm, I'm not sure. I'm kind of drawing a blank, sorry.

Interviewer · 12:55

That's fine. Think about the two sides of the margin: what the client charges and sells, and what it pays to make each cup. What ideas come to mind on either side?

Candidate · 13:17

On the cost side maybe renegotiate with bean suppliers, or lock in contracts.

Other than that I don't really know, sorry.

Interviewer · 13:20

Okay, that's one lever on cost. You also told me the other inputs are up a lot, so what else could they do on that side, and what could they do on the revenue side?

Candidate · 14:18

I guess cheaper suppliers for dairy and packaging too. Revenue side... I'm stuck, sorry.

Interviewer · 14:21

Okay. Think about what you learned about menu prices and what customers are doing each visit. What lever on the revenue side could that point to?

Candidate · 14:50

Raise menu prices, since they haven't moved in two years. And maybe push the higher-margin items since people are already buying more per visit.

Is that the kind of thing you meant?

Interviewer · 14:54

Okay. You now have levers on both cost and revenue. If you were presenting to the CEO, what is your recommendation, and which lever would you lead with?

Candidate · 15:48

I don't know. Sorry — I can't pull it together.

Interviewer · 15:51

Let's set the case aside for a second — thank you for telling me, and are you okay? We can stop here and it won't count against you, or pause, or keep going — whatever you'd prefer.

Candidate · 16:11

I'm okay, really. I'd rather finish than stop.

But on the recommendation — I still don't know. Sorry.

Interviewer · 16:14

Okay. Take a minute. You found the driver, you listed levers on both sides, and the CEO wants one answer. Which lever would you put first, and what is your reason for it?

Candidate · 17:13

I'm sorry, I don't know. I can't pick one.

Interviewer · 17:16

Okay, let's narrow it. You told me menu prices haven't moved in two years while input costs rose a lot. Looking at just that, which of your levers speaks most directly to that gap, and what would you tell the CEO to do?

Candidate · 17:35

Raising prices, I guess. But I don't know — I can't give you a real recommendation.

Interviewer · 17:37

You just gave me one: raise prices, since they've absorbed the cost increase without moving them. Tell me in a sentence or two why you'd lead with that, and what risk you'd flag to the CEO.

Candidate · 18:09

I'd lead with it because input costs are up 40% and prices haven't moved at all, so the whole increase landed on margin.

Risk is customers walk away and volume drops. That's all I've got, sorry.

Interviewer · 18:11

Okay. How would you size what a price increase needs to be to recover margin, and what would you want to know first?

Candidate · 18:56

You'd need to cover the 16 that COGS added. If prices went up about 16-17% and volume held, that'd roughly get the margin back.

First thing I'd want to know is how price-sensitive their customers are — whether a 15% increase loses them a lot of volume, and what competitors charge nearby.

Sorry, that's probably rough.

Interviewer · 19:00

Walk me through how you got from the 16 to a price increase of roughly 16 to 17 percent. What is the starting base, and what does revenue become after the increase?

Candidate · 19:53

Starting base is revenue at 100, COGS at 58. If I raise prices 16%, revenue becomes 116 and costs stay the same in dollars, so the extra 16 flows to profit, 6 plus 16 is 22, close to the 24.

But I think that's not quite right because the 16 is a percentage of the old revenue, not the new one. I'm not confident in it, sorry.

Interviewer · 19:55

Your instinct to question it is worth following. Profit in dollars would be 22 on revenue of 116, so what is the margin on that basis, and what price increase would you need to get margin back to 24?

Candidate · 21:02

22 over 116 is about 19%, so not quite the 24. You'd need more than 16% to get there.

To hit 24 you'd need profit of 0.24 times the new revenue. If revenue is 100 plus x and costs stay at 94, then... 100 plus x minus 94 equals 0.24 times 100 plus x . So 6 plus x equals 24 plus 0.24 x , so 0.76 x is 18, x is about 23.7. So roughly a 24% price increase.

That's a lot. I'd flag that's probably not realistic in one go.

Interviewer · 21:06

Okay. Costs in your equation are 94, meaning COGS plus labor plus overhead. Given that a single 24 percent increase is unrealistic, how would you combine your levers into a phased plan for the CEO?

Candidate · 21:53

Maybe phase it — a smaller price increase first, like 8-10%, see how volume holds, then another step later. And at the same time work the supplier side, renegotiate beans and dairy, so you don't need the full 24 from price alone.

But if you're asking me what I'd actually recommend to the CEO, I still don't know. Sorry.

Interviewer · 21:56

We'll stop there. Thanks for working through the case — your written report will follow.